

1. Company Overview

NovaTech Inc. is a global technology company headquartered in San Francisco, California. Founded in 2002 by Dr. Priya Mehta and James O'Brien, NovaTech specialises in enterprise artificial intelligence, cloud infrastructure, and next-generation semiconductor design. As of 2024, the company employs approximately 48,000 people across 32 countries and reported annual revenues of USD 21.4 billion.

NovaTech is organised around a functional structure in which each major discipline -- engineering, design, product management, sales, and research -- is led by a dedicated Vice President who reports directly to the Chief Executive Officer, Dr. Priya Mehta. This structure eliminates traditional business-unit silos and encourages deep cross-functional collaboration on every product.

2. Functional Organisation Structure

Unlike many companies of comparable scale, NovaTech does not operate independent profit-and-loss business units. Instead, the entire company behaves as a single integrated entity with shared resources and shared accountability. This design was a deliberate choice by co-founder James O'Brien, who argued that a functional organisation would allow the company to move faster and avoid the internal politics that plague divisional structures.

The senior leadership team consists of seven functional Vice Presidents: Elena Vasquez (VP of Engineering), Raj Patel (VP of AI Research), Soo-Yeon Kim (VP of Product Design), Marcus Reed (VP of Cloud Infrastructure), Fatima Al-Hassan (VP of Sales and Partnerships), Lorenzo Bianchi (VP of Operations), and Anita Desai (VP of Human Resources). Each VP is considered the foremost expert in their domain and is empowered to make binding decisions within it.

A critical feature of NovaTech's functional structure is the Integrated Project Council (IPC), a weekly forum in which all seven VPs and the CEO review the status of every major product initiative. This forum ensures alignment and prevents any single function from becoming a bottleneck.

3. Leadership Philosophy: Experts Leading Experts

NovaTech's leadership philosophy is built on three pillars: deep expertise, immersion in technical details, and collaborative debate.

Deep Expertise: Every leader at NovaTech, from team-lead level upward, is expected to be a world-class practitioner in their field. CEO Dr. Priya Mehta holds a PhD in Computational Mathematics and still reviews cryptographic proofs submitted by the security engineering team. This ensures that decisions are made by people who truly understand the implications, rather than by generalist managers relying on second-hand summaries.

Immersion in Details: Senior leaders are encouraged to engage directly with the day-to-day work of their teams. VP of Engineering Elena Vasquez is known to spend every Friday morning reviewing code commits alongside junior engineers. This immersion builds trust, surfaces problems early, and keeps leaders grounded in operational reality rather than abstract metrics.

Collaborative Debate: NovaTech holds structured design reviews called 'Challenge Sessions' in which any employee, regardless of seniority, may present evidence-based arguments against a proposed design. These sessions are moderated by a neutral facilitator and scored on the quality of reasoning rather than on hierarchy. The outcome of a Challenge Session is binding unless overturned by the CEO.

4. Innovation Examples Driven by NovaTech's Leadership Model

NovaTech's functional leadership model has produced several landmark innovations that would have been unlikely under a divisional structure.

NovaSilicon Neural Processing Unit (NPU): In 2021, VP of AI Research Raj Patel and VP of Engineering Elena Vasquez co-led a cross-functional team of 420 engineers to design a custom neural processing unit optimised for on-device large language model inference. Because both VPs reported to the same CEO and shared the same success metrics, they were able to resolve hardware-software co-design trade-offs in days rather than the months such negotiations typically require at divisional companies. The resulting NovaSilicon NPU achieved 3.2x better energy efficiency than competing solutions and was named 'Chip of the Year' by IEEE Spectrum in 2022.

NovaCloud Sovereign Platform: In response to European data-sovereignty regulations in 2022, VP of Cloud Infrastructure Marcus Reed coordinated with VP of Sales & Partnerships Fatima Al-Hassan to redesign NovaTech's cloud offering in 14 months. A divisional company would have required cross-P&L negotiations to allocate costs; at NovaTech the shared functional structure meant the entire company immediately aligned behind a single regulatory response strategy. The platform launched on time and secured 11 new enterprise contracts worth USD 1.8 billion in its first year.

Project Aurora (Generative AI Assistant): CEO Dr. Priya Mehta personally chaired the weekly design reviews for Project Aurora, NovaTech's generative AI assistant, from ideation to launch over 18 months. Her direct involvement allowed her to make real-time decisions on model architecture, UX design, and safety policy without routing requests through a committee. Aurora launched in Q2 2023 and reached 10 million enterprise users within 90 days.

5. Challenges of Scale and Discretionary Leadership

As NovaTech grew from 5,000 to 48,000 employees between 2010 and 2024, the functional model faced new pressures. Senior leaders found that the number of cross-functional decisions requiring their input grew faster than the number of hours in the work week.

To address this, NovaTech introduced what it calls Discretionary Leadership -- a framework in which each VP explicitly designates three categories of decisions: (1) Autonomous Decisions that their direct reports may make without escalation, (2) Consultative Decisions that require the VP's input but not their approval, and (3) Reserved Decisions that the VP must personally make. This taxonomy reduced unnecessary escalations by 61 percent in the first year of implementation.

VP of Product Design Soo-Yeon Kim piloted the framework in 2021. She found that categorising decisions explicitly freed her team to move faster on the 80 percent of decisions that did not require her involvement, while ensuring she remained closely involved in the 20 percent that truly benefited from her deep expertise in materials science and human-computer interaction.

6. About This Report

This report was authored by Dr. Ananya Krishnaswamy, Senior Research Fellow at the NovaTech Institute for Organisational Excellence, and Professor David Thornton of the London Business School. It was published by NovaTech Inc. in January 2024 as part of the annual Leadership Insights Series.

The research is based on 78 structured interviews conducted with NovaTech employees across all seniority levels between March and November 2023, supplemented by analysis of internal decision logs, product launch timelines, and financial data provided under a research partnership agreement.

7. Key Takeaways

1. NovaTech's functional organisation eliminates P&L silos and aligns every employee behind a single set of company-wide metrics.
2. The 'Experts Leading Experts' philosophy ensures that technical decisions are made by people with deep domain knowledge, not generalist managers.
3. Structured debate mechanisms (Challenge Sessions) democratise innovation and prevent groupthink.
4. Discretionary Leadership enables scale without sacrificing the speed advantages of a flat, functional organisation.
5. Cross-functional collaboration, exemplified by the NovaSilicon NPU and NovaCloud Sovereign Platform, has been NovaTech's primary competitive advantage.